Actual Undue Influence

English contract law | Study guide | Proof of improper influence and its effect

Someone may understand a transaction and still sign because another person has improperly influenced the decision. Equity may allow the transaction to be set aside. The question is what happened and how it led to this agreement.

1. Identify the influence and its misuse

Specify who exercised influence, what they said or did, and why the conduct was improper in context. It can involve pressure or exploitation of dependence. Trust, affection and persuasion can legitimately affect decisions. Examine how the influence was used and what the person exercising it sought to obtain.

2. Connect the conduct to the transaction

The claimant must show that the improper influence procured the agreement. Build a timeline of earlier decisions, demands, communications and signature. A sudden reversal shortly after a demand may be significant. Consider other explanations, such as a decision made independently after time to reflect.

3. Prove the facts on the balance of probabilities

The claimant may rely on direct testimony or on circumstantial evidence from which the court can infer what happened. A recording or witness is useful but unnecessary. Under *CIBC Mortgages v Pitt*, manifest disadvantage is unnecessary where undue influence is proved. A transaction on fair financial terms can still have been procured improperly.

4. Consider the remedy separately

A transaction procured by undue influence is generally voidable. Setting it aside may depend on whether the parties can substantially be restored and whether the claimant affirmed it after the influence ceased. Where a lender or another third party holds rights, separate questions can arise about whether those rights are affected.

> Legal English | **Actual** identifies the route of proving undue influence on the facts. **Voidable** describes a transaction that remains effective unless it is set aside.

The Cases and the Proof

Williams v Bayley (1866) | Pressure in context

A son forged his father's signature on promissory notes. The bankers pressed for a settlement that would make the father give security over his property. The report records no express threat of prosecution. The prospect of proceedings against his son nonetheless formed part of the pressure on him. The House of Lords upheld the setting aside of the agreement. The speeches also discussed the public policy issue raised by suppressing a prosecution.

CIBC Mortgages v Pitt (1993) | Disadvantage and third-party rights

A husband improperly induced his wife to join in a mortgage over their home. The House of Lords held that manifest disadvantage was unnecessary. The lender nonetheless retained its security because it had no actual or constructive notice on the facts. A finding of influence and its effect on a lender's rights are separate questions.

Etridge (No 2) (2001) | One doctrine, different ways of proving it

Under the approach often called presumed undue influence, evidence of trust and confidence and a transaction calling for explanation can support an inference. The other party may answer that inference with evidence of a free decision. Actual undue influence can instead be established by evidence of what occurred. Independent advice is relevant to the decision's independence, and its effect depends on the facts.

A lender put on inquiry | Waller-Edwards (2025)

In a non-commercial relationship, a lender is put on inquiry where a joint loan on its face includes a more than minimal surety element for one party's debts. This raises the question whether the lender took reasonable steps to avoid being fixed with notice. Whether influence actually occurred remains a separate question.

> Exam method | In *Williams v Bayley,* identify what the bankers conveyed by the circumstances. In *Pitt,* ask separately whether the lender was affected by the wrongdoing.

Worked Problem and Authorities

The sale of a share in the family shop

Lina depends on her cousin Martin to arrange daily care. She has twice refused to sell him her share in the family shop. Martin sends a message saying he will stop arranging care unless she signs the sale agreement that evening. Lina signs and tells a friend immediately that she was afraid of being left without help. An independent valuation supports the agreed price. Can she challenge the agreement?

Model analysis

Misuse of influence. Martin linked essential help to an immediate sale for his own benefit. The dependence and deadline give the message weight. Her earlier refusals, the message and her account to the friend support a finding that the pressure procured the signature.

Price and remedy. The valuation shows the financial terms were fair. Lina can still establish actual undue influence by proving how Martin secured her consent. She may seek to set the agreement aside, subject to any applicable bars. If the sale was completed, consider what each party would have to return.

Evidence. Preserve the message and compare its time with the signature and Lina's account to her friend. The valuation addresses price. The chronology addresses how consent was obtained.

> Variation | Martin makes an ordinary offer, leaves it open for a week and makes clear that he will continue arranging care. Lina obtains independent advice and chooses to sell. On those facts, proving improper influence would be substantially harder.

Selected authorities

Williams v Bayley (1866) LR 1 HL 200 | Pressure and security
CIBC Mortgages plc v Pitt [1994] 1 AC 200 | Disadvantage and notice
Royal Bank of Scotland plc v Etridge (No 2) [2001] UKHL 44 | Proof and third-party lenders
Waller-Edwards v One Savings Bank plc [2025] UKSC 22 | Hybrid loans